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Key Highlights: China Pre-Holiday Machine Downtimes (Shanying & Nine Dragons 4–8 Day Machine Halts) × CMPC Finalizes \$370M Federal Land Deal for Brazil Deep-Water Terminal × North American Containerboard Spread Holds at Record \$840 × EU PFHxA Ban Final 30-Day Sprint

China Pre-Holiday Mill Downtimes

4–8 Day Halts (ND & Shanying)

Proactive supply discipline to curb inventories; Shanying halts 8 paper machines across Zhejiang & Anhui, Nine Dragons inspects 20 lines to defend RMB 30–50 price gains.

CMPC Brazil Dedicated Terminal

US\$ 370M (Federal Land Deal)

Transpacific deep-water logistics sovereignty; 25-year federal land deal signed for Terminal Rio Grande do Sul (4.6M MT/yr capacity) serving flagship Natureza mill.

US Containerboard-OCC Spread

\$840 / short ton

Sept 1 price hikes fully invoiced in week 3; linerboard spot firm at \$975/short ton; raw material spread holds at historic peak, securing superior EBITDA margins.

China Imported NBSK Spot

USD 690 / ton

RMB 4,900/ton; pre-holiday rush approaches climax; mainstream port inventories draw down for 10th consecutive week to 2.102M tonnes; basis tight at +USD 10.

NBSK - BHKP Spot Spread

USD 64 / ton

RMB 455/ton; firmly below 500 RMB substitution tipping point; stable fiber furnish ensures structural parity between long and short fiber benchmarks.

EU PFHxA Ban Final Sprint

Countdown 30 Days (Final Sprint)

Mandatory prohibition takes effect 2026-10-18; European food packaging supply chains conduct final inventory clearance for fluorinated grease barriers.

1. Executive Summary & Key Strategic Insights

- Containerboard Discipline** **Chinese Paper Majors Launch Pre-Holiday Machine Downtimes; Shanying & Nine Dragons Halt Lines for 4–8 Days:** Shanying International issued official notices scheduling 4 to 8 days of coordinated maintenance across 8 paper machines in Zhejiang and Anhui during the Mid-Autumn and National Day holidays, covering kraftliner and corrugating medium. Nine Dragons also slated ~20 paper machines for maintenance. This supply discipline prevents inventory accumulation, defends recent price hikes of RMB 30–50/ton, and precedes another planned price adjustment on October 9.
- Deep-Water Logistics** **Chile's CMPC Signs \$370M Federal Land Deal for Brazil Terminal Rio Grande do Sul:** On September 16, CMPC and Neltume Ports formally concluded the 25-year federal land concession (renewable for 25 years) at Ponta Sul do Porto Novo. Capital investment was raised to \$370M. Featuring 2 vessel berths, 2 barge berths, and a 59,000 m² warehouse (220k MT capacity), the terminal is designed for 4.6M MT/yr by 2030, providing a dedicated, low-cost ocean logistics artery for CMPC's flagship Natureza mega-mill.
- North American Margin High** **North American Sept 1 Containerboard Price Hikes Fully Invoiced in Week 3; Raw Material Spread Solid at \$840/short ton:** Third-round price hikes by PCA (+\$140), Smurfit Westrock (+\$100), and IP (+\$80) are entering their third week of full billing. Kraftliner spot prices remain robust at \$960–\$980/short ton. Deducting US OCC (\$135/short ton), the raw material spread remains locked at a multi-year high of \$840/short ton.
- Pulp Market Dynamics** **China Imported NBSK Spot Ticks Up to \$690/MT (RMB 4,900/t) as Port Stocks Fall for 10th Straight Week:** Port inventories at Qingdao and Changshu fell to 2.102M tonnes. Textbook publishing and festive food packaging ran at peak capacity (operating rates ~69.5%). SHFE bleached softwood pulp futures closed at RMB 4,828/t, maintaining a disciplined cash-futures basis of +RMB 72/t (+USD 10).

5. **Hardwood Floor Strong** **Suzano's \$20/MT Asian Hardwood Price Hike Fully Solidified; Spot Quotes Range-Bound at \$625–\$630/MT:** Global buyers have formed a firm consensus on hardwood price floors. Added production from Brazil's Cerrado mill (2.55M MT) has been completely absorbed by steady tissue and printing paper demand, ending 5 consecutive months of price erosion.
6. **Spread Equilibrium** **Softwood-Hardwood Price Gap Inches to RMB 455/ton (\$64/MT), Comfortably Under the 500 RMB Substitution Threshold:** The stable price spread continues to prevent mills from altering fiber furnish formulations, maintaining balanced pricing equilibrium across both virgin fiber categories.
7. **Asian Expansion** **Nine Dragons Hubei 350k MT Tissue Project Enters EIA; APP Indonesia Indah Kiat Accelerates Packaging Expansion:** Nine Dragons published environmental impact disclosures for a 350,000 MT/yr tissue project in Hubei. Meanwhile, Sinar Mas APP's Indah Kiat—following a 127.3% YoY surge in H1 net profit to \$295M—is accelerating development of its Karawang 2,000 MT/day recycled containerboard line.
8. **Regulatory Deadline** **EU PFHxA Ban Countdown Drops to 30 Days; Food-Contact Packaging Confronts Final Clearance:** The EU ban on perfluorohexanoic acid (PFHxA) and related substances becomes binding on October 18, 2026. Export supply chains must purge fluorinated grease-resistant barriers, driving rapid uptake of non-PFAS aqueous barrier cardboards.
9. **Taiwan Production Peak** **Taiwan Mills Operate at Full Capacity for Pre-Holiday Produce and Electronics Packaging; Cheng Loong Vietnam Booms:** Building upon Cheng Loong's 20-month revenue high in August (NT\$4.34B), September packaging shipments for Mid-Autumn fruit boxes and AI server/electronics packaging hit annual highs. Long Chen benefits from Chinese containerboard price defense and furnace heat recovery.
10. **Energy Shield** **Taiwan Mills' Solid Recovered Fuel (SRF) Biomass Replacement Advances to 47.5%, Anchoring Steam at NT\$728/ton:** Circular biomass cogeneration shields Taiwanese mills from grid tariff volatility and upcoming 2027 carbon fees, maintaining steam costs at NT\$728/ton (\$22.7).

2. Key Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics & Structural Trends
China Imported NBSK Spot Price	USD 690 / ton (RMB 4,900)	2026-09-18	+USD 2.0 (RMB +10)	Pre-holiday replenishment reaches final phase; port stocks draw down for 10th straight week
China Imported BHKP Spot Price	USD 626 / ton (RMB 4,445)	2026-09-18	+USD 1.0 (RMB +5)	Suzano hike firmly rooted; healthy paper mill intake provides durable floor
SHFE NBSK Futures Settlement (SP)	USD 680 / ton (RMB 4,828)	2026-09-18	+USD 2.0 (RMB +18)	Basis locked at +USD 10 (RMB +72); speculative positions hold steady ahead of holidays
China Mainstream Port Pulp Inventory	2.102M tonnes	2026-09-18	-13k tonnes	10th consecutive weekly drawdown; Changshu and Qingdao port outbound pace high
NBSK - BHKP Spot Spread	USD 64 / ton (RMB 455)	2026-09-18	+USD 1.0 (RMB +5)	Firmly below 500 RMB substitution tipping point; fiber furnish recipes intact
Europe Imported NBSK Spot (CIF)	USD 1,240–1,305 / ton	2026-09-18	+USD 5	Nordic supply discipline sustains high regional premium over Asian benchmarks

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 135–137 / short ton (RMB 955–970)	2026-09-18	Flat	Asian mills maintain regular procurement rhythms; FAS pricing firm
US 11# OCC Export FAS (East Coast)	USD 137–139 / short ton (RMB 970–985)	2026-09-18	Flat	Transatlantic container bookings balanced; steady European and Asian demand
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-09	Realized	High containerboard operating rates (~92%) sustain domestic fiber appetite
China Domestic OCC Benchmark (Grade A)	USD 284 / ton (RMB 2,015)	2026-09-18	Flat	Pre-festival packing station volumes modest; major mills offer token incentives
Taiwan Domestic OCC Mill Gate Price	USD 131.0 / ton (NT\$ 4,200)	2026-09-18	Flat	Domestic recycling collection and paper mill gate intake remain strictly balanced

2.3 Paperboard & Finished Products

Market	Product Category	Action / Hike (USD-First)	Effective Date	Value Chain Impact Scope
US	Containerboard / Linerboard	PCA +\$140, SW +\$100, IP +\$80	2026-09-01 (Invoicing Week 3)	Full execution across major boxmakers; box contracts reset upwards
US	Raw Material Spread	USD 840 / short ton (NT\$ 26,930)	2026-09-18	Holds at \$840/ton all-time record; mill margins at multi-year peaks
Chile / Brazil	Pulp Export Logistics	CMPC Signs \$370M Port Deal	2026-09-16 Signed	Terminal Rio Grande do Sul 25-yr federal land deal; 4.6M MT/yr capacity by 2030
China	Corrugating Medium / Testliner	Shanying & ND 4–8d Downtime	Mid-Autumn/National Day	Coordinated machine halts curb inventories and defend RMB 30–50 price gains
China / SE Asia	Tissue & Packaging Board	Nine Dragons Hubei 350k MT Tissue	2026-09	EIA disclosure filed; APP Indonesia accelerates Karawang packaging board plant
Taiwan	Industrial Paper & Cartons	Cheng Loong & Long Chen Peak Runs	2026-09 Peak	Peak shipments for electronics packaging, Mid-Autumn fruit, and export boxes

2.4 Key Energy, Foreign Exchange & Maritime Logistics Radar

Domain	Indicator Benchmark	Latest Quote (USD-First)	Trend & WoW	Value Chain Operational & Financial Significance
Geopolitics	Brent Crude Oil Futures	\$93.90 / bbl	-0.3% WoW	Crude consolidates near \$94; chemical sizing (AKD), SBR latex & BSS stay elevated
Forex	USD / TWD Exchange Rate	32.060	NTD +0.02	Moderate NTD strength reduces imported wood pulp and OCC forex settlement costs
Forex	EUR / USD Exchange Rate	1.0975	Euro Firm	Strong Euro limits European linerboard dumping into Asian export corridors
Forex	USD / BRL Exchange Rate	5.0780	Real +0.1%	Firm Brazilian Real disincentivizes USD discounts on global market pulp sales
Freight	Shanghai Container Freight (SCFI)	3,458.20 pts (USD)	+0.5%	Peak pre-holiday volumes; US West Coast \$6,620/FEU, East Coast \$9,420/FEU
Freight	Baltic Dry Index (BDI)	1,862 pts	+0.8%	Bulk woodchip vessel charters and long-term pulp carrier rates remain steady
Energy	Taiwan Thermal Coal (Taipower CIF)	\$129.50 / ton	-0.4% MoM	Ample Australian coal; mill SRF biomass >47.5% locks steam at NT\$728/ton (\$22.7)
Energy	China Thermal Coal (QHD 5500)	USD 116.0 / ton (RMB 825)	Controlled	Post-summer power demand eases; paper mill coal costs stable at RMB 270–300/t
Energy	Japan Imported Coal (CIF)	\$137.00 / ton	Range-bound	Japanese mills sustain high specialty export prices to absorb elevated power costs

3. Price Trends & Full-Chain Forward Matrix

Chart 1 | China NBSK vs. BHKP Spot Pulp Spread Dynamics (2026-06 ~ 2026-09-18)

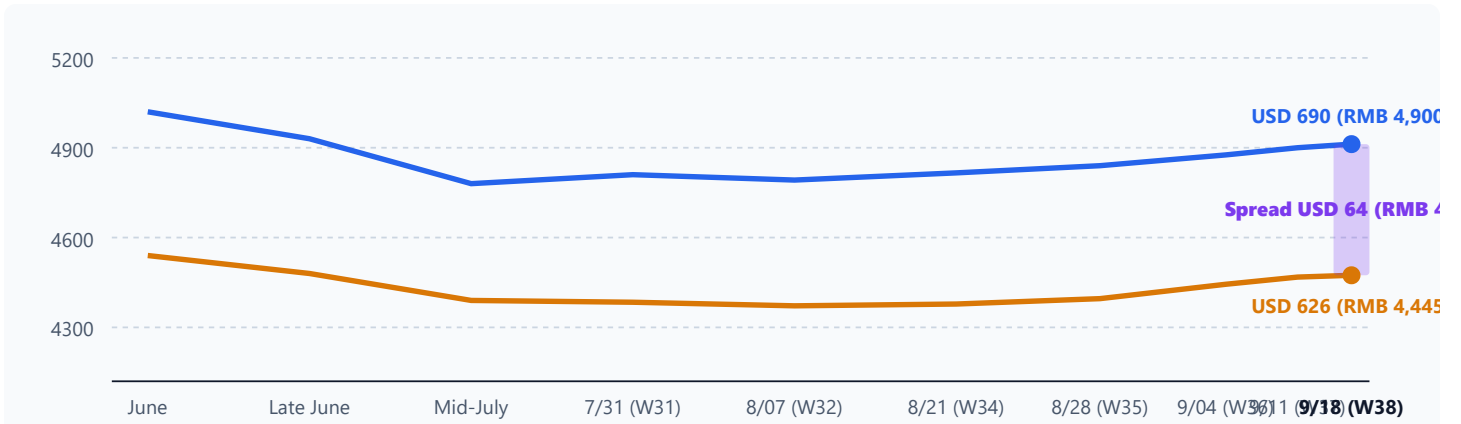


Chart 2 | North American Containerboard Hikes vs. Recovered Fiber (OCC) Raw Spread (\$840/ton Record)

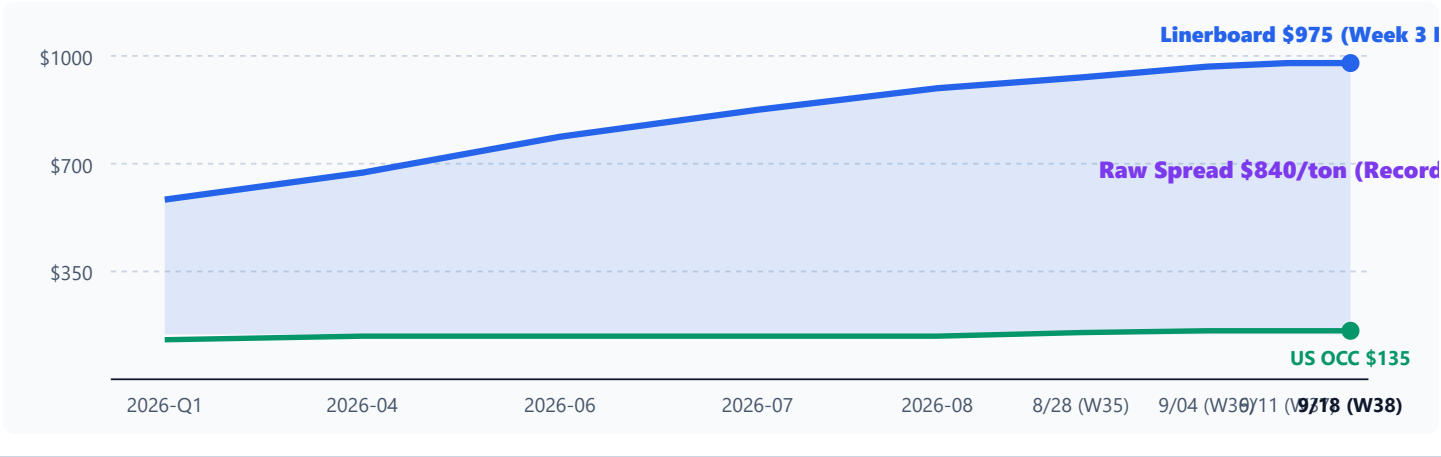


Chart 3 | Taiwan Listed Paper Mills Revenue Trend & H1/August Profit Turnaround

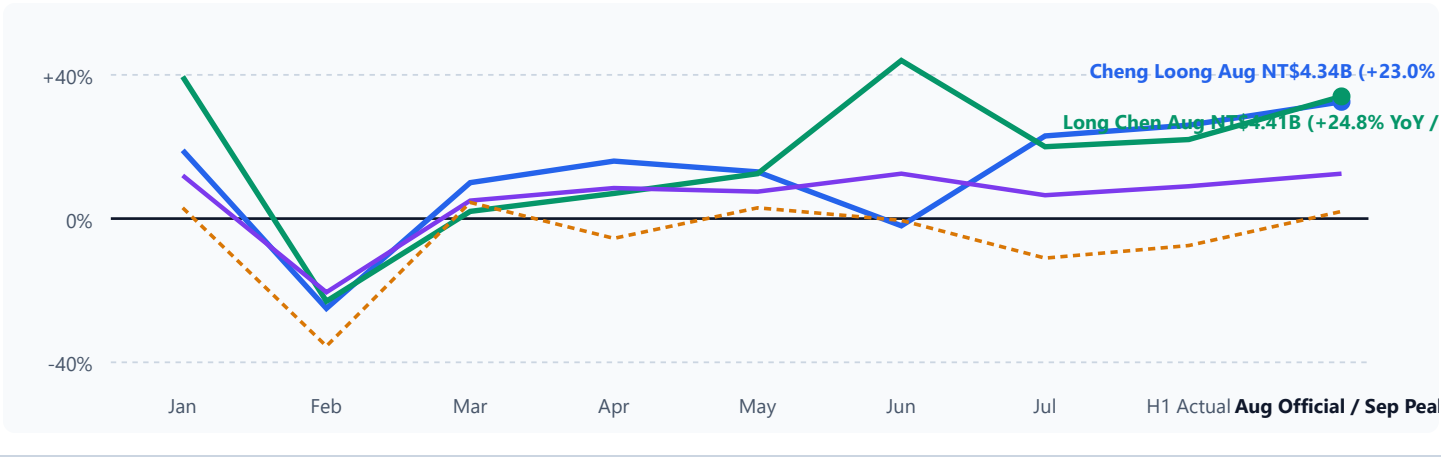


Chart 4 | Regional Containerboard Pricing Dynamics & Mill Maintenance Machine Halts

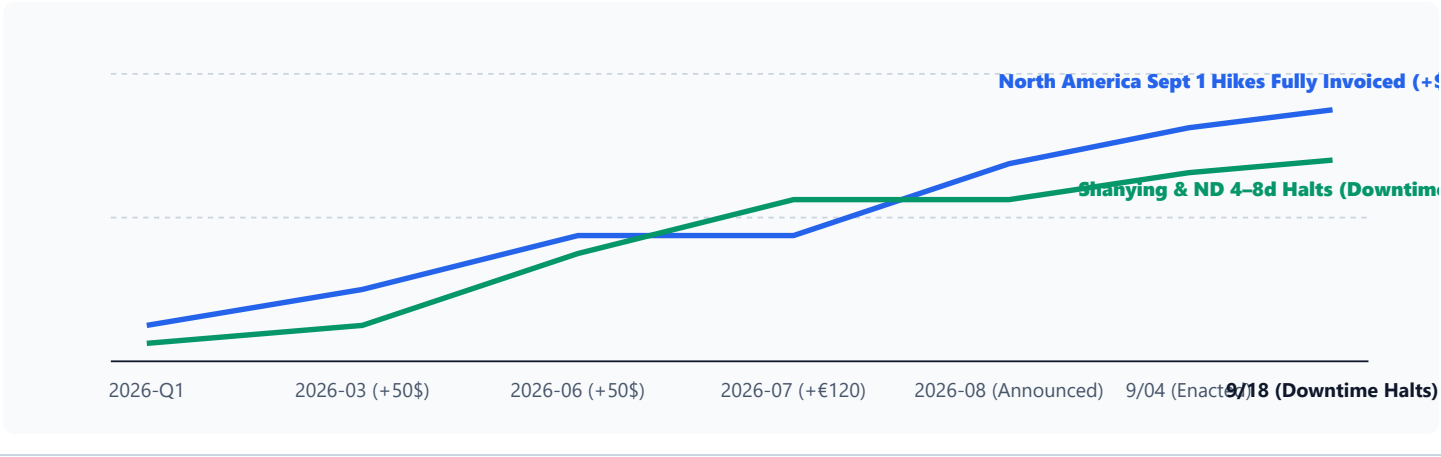
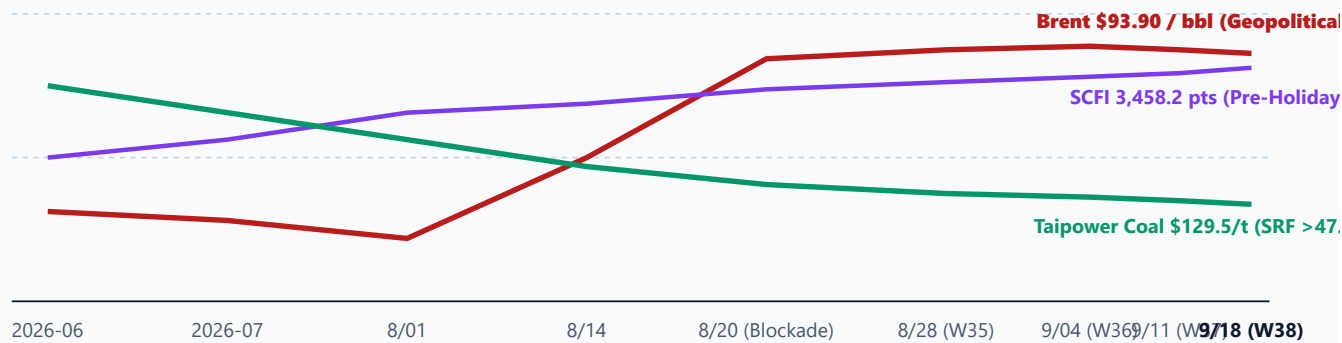


Chart 5 | Global Energy & Ocean Logistics Radar (Brent Crude, SCFI, Taipower Coal / 2026-09-18)



3.6 Full-Chain Forward Outlook & Prediction Matrix (Energy × Pulp × Paper)

Target Benchmark	Category	Current Base (USD-First)	1M Target	3M Target	6M Target	Direction	Primary Drivers & Risk Boundari
Brent Crude Oil	Energy	\$93.90 / bbl	\$92–98	\$88–95	\$82–90	Geopolitically Elevated	Enforcement of Iranian export embargo; persistent bunker surcharges (BSS)
China Imported NBSK	Wood Pulp	USD 690 / ton (RMB 4,900)	\$695–715	\$700–730	\$660–700	Firm Advance	Port inventories draw down for 10 weeks; autumn textbook & festive packaging rushes
China Imported BHKP	Wood Pulp	USD 626 / ton (RMB 4,445)	\$630–645	\$635–655	\$610–635	Trough Rebound	Suzano hike firmly absorbed; Cerrado volume digested; buyers restocking
US 11# Export OCC	Recovered Fiber	USD 135–137 / short ton	\$135–140	\$138–145	\$125–135	Steady High	High containerboard operating rat sustain robust domestic recycling demand
US Linerboard	Packaging Board	\$960–\$980 / short ton	\$970–990	\$970–1000	\$940–970	Fully Realized	Sept 1 price hikes fully invoiced; R& Material Spread hits record \$840/t
Taiwan Kraftliner	Industrial Paper	NT\$ 52,000 / ton	NT\$ 52,000	NT\$ 53,000	NT\$ 51,500	Bullish Momentum	Cheng Loong & Long Chen August revenue surge extends into Q3-Q4 peaks

4. Feedstock Market Dynamics: Wood Pulp & Recovered Fiber

Following Suzano's \$20/MT hardwood pulp hike, market sentiment across Asia solidified rapidly. Nordic and North American softwood producers, including Metsa Board and Canfor, reinforced list price discipline, providing significant leverage for upcoming Q4 contract negotiations. Port stocks at Qingdao and Changshu dropped for the tenth consecutive week to 2.102M tonnes, underscoring resilient paper mill intake.

In recovered fiber, US domestic box collection remained well balanced, with export FAS quotes holding steady at \$135–\$137/short ton on the West Coast and \$137–\$139/short ton on the East Coast. In China, Grade A OCC mill gate prices ticked up slightly to RMB 2,015/ton as packing yards showed reluctance to sell ahead of the festive holidays.

5. Finished Products: Containerboard, Cultural & Specialty Papers

In containerboard, North American producers PCA, Smurfit Westrock, and International Paper successfully billed their third round of increases effective September 1, amplifying international price arbitrage. In China, Nine Dragons, Shanying, and Sun Paper initiated 4 to 8 days of selective machine maintenance, effectively restraining supply to protect recent RMB 30–50/ton price increases. Taiwanese mills operated at >92% capacity, fueled by brisk demand for electronic components packaging and agricultural produce boxes.

In cultural and specialty grades, printing paper demand peaked for textbook production and promotional materials. Concurrently, demand for aqueous barrier coated board and certified PFAS-free grease-resistant paper surged sharply in response to China GB 4806.10 and EU PFHxA compliance deadlines.

6. Corporate Strategy & Global Expansion

Chile's CMPC achieved a major milestone by securing permits and signing a 25-year federal land concession for a \$370M private deep-water pulp terminal at Port of Rio Grande in Rio Grande do Sul, Brazil. The facility, designed for over 4.6M tonnes of annual throughput by 2030, will dramatically reduce inland rail and ocean transshipment demurrage for shipments bound for Asia and Europe from its flagship Natureza mega-mill.

In Southeast Asia, APP's Indonesian flagship Indah Kiat (IKKP) reported an outstanding H1 2026 net profit of \$295M (+127.3% YoY), driven by fully integrated plantation pulp and paperboard cost advantages. In Taiwan, Cheng Loong's August revenue reached NT\$4.34B (a 20-month high), while Long Chen posted NT\$4.41B (+24.8% YoY) with 8-month pre-tax earnings of NT\$495M, confirming sustained sector recovery.

7. Global Regulations & ESG Transformation

- **EU PFHxA Ban Final Countdown (30 Days Remaining):** Effective 2026-10-18, perfluorohexanoic acid and related substances will be prohibited across EU food packaging. Supply chains have entered the final sprint to purge fluorinated barriers.
- **EU PPWR 37 Days in Force:** European port authorities have commenced systematic sampling of food-contact paper packaging for total fluorine (<50 ppm) and verified Design for Recycling (DfR) declarations.
- **China GB 4806.10-2025 Enacted (Day 16):** Paper coatings are officially governed under mandatory food safety standards, driving rapid market substitution away from fluorinated chemicals toward water-based bio-barrier coatings.
- **EU EUDR Deforestation Regulation Countdown (103 Days Remaining):** Wood pulp, paperboard, and cartons entering the EU require plot-level GPS coordinates and Due Diligence Statements (DDS).
- **Taiwan 2026 Carbon Fee Implementation:** Large industrial emitters prepare inaugural greenhouse gas filings. Cheng Loong, YFY, and Long Chen expand SRF biomass fuels (>47.5% replacement) and waste heat recovery to secure preferential fee discounts.

8. Strategic Implications for Taiwan Paper Industry

1. **Feedstock Sourcing:** The NT Dollar remains firm at 32.060, preserving foreign exchange purchasing power. Mills should take advantage of NBSK at USD 690/MT and US OCC at USD 135/short ton to lock in Q4 and early 2027 safety reserves.
2. **Containerboard Exporters:** North American Sept 1 hikes widen global virgin-to-recycled spreads to \$840/short ton. Cheng Loong's 1M MT capacity in Vietnam and Long Chen's >95% capacity utilization in China position both to expand H2 revenues and margins.
3. **Specialty & Cultural Paper Mills:** Chung Hwa Pulp's non-plastic barrier board directly fulfills GB 4806.10 and EU PPWR mandates. Capacity discipline supports premium price realization in domestic and export markets.
4. **Packaging Converters & Boxmakers:** Faced with mill price hikes and raw spread records, boxmakers must stand firm in passing price adjustments to clients to protect operating margins.
5. **Brand Export Manufacturers:** Must conduct comprehensive supply chain audits for PFAS-free verification and EUDR compliance to prevent cargo impoundment at European and international ports.

9. Value Chain Transmission Mechanism

- **Pulp Price Transmission:** Suzano Asian hike +\$20/MT realized → Imported NBSK climbs to \$690/MT → Woodfree and ivory board price hikes (+RMB 100~200/MT) → Printing and packaging cartons repriced (transmission lag: 3–5 weeks).
- **Containerboard Transmission:** North American containerboard +\$80~140/short ton fully invoiced → Asian imported kraftliner rises +\$30~50/MT → Taiwan & Southeast Asian corrugated carton prices adjust +5~10% (transmission lag: 2–4 weeks).
- **Regulatory Substitution:** EU PFHxA 30-day countdown + China GB 4806.10 in force → Legacy fluorinated/PE paperboards phased out → Aqueous bio-based barrier paperboard market share accelerates past 52%.

10. Key Milestones Calendar

Effective Date	Regulatory & Industrial Milestone	Value Chain Impact & Operational Countermeasures
2026-08-12	EU PPWR Packaging Regulation Officially Enacted	Active for 37 days; European exports subject to DfR recyclable design and PFAS audits
2026-09-01	North American Top 3 Containerboard Hikes Enacted	PCA (+\$140), SW (+\$100), IP (+\$80) fully invoiced; Raw Material Spread hits \$840 record
2026-09-02	China GB 4806.10 Food Coating Standard Enacted	Paper coatings regulated; aromatic amines and PFAS restricted; aqueous barriers mandatory
2026-09-16	CMPC Signs \$370M Port Terminal Concession in Brazil	Terminal Rio Grande do Sul federal land deal signed; 4.6M MT/yr throughput by 2030
2026-10-18	EU PFHxA Ban Takes Effect (Countdown: 30 Days)	Fluorinated grease-resistant additives banished from EU food packaging (final month)
2026-12-30	EU EUDR Deforestation Rule Enforced (Countdown: 103 Days)	Imported wood pulp, paper, and boxes must supply plot-level GPS DDS filings
2027-01-01	Taiwan 2026 Carbon Fee Reporting & Formal Levying	Paper mills face inaugural carbon fee declarations; SRF biomass secures discounts